22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of June 30, 2022 to be effective for the year ended December 31, 2022 is 24.1%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and six-month periods ended June 30, 2022 and 2021 are calculated as follows:

(1) Ordinary shares

	June 30, 2022		June 30, 2021	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**6 Months**	**3 Months**	**6 Months**
Profit for the period attributable to owners of the parent company	10,954,515	22,083,609	9,450,676	16,543,462
Profit for the period available for ordinary shares	9,627,448	19,408,327	8,305,789	14,539,332
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	1,613	3,251	1,391	2,435

(2) Preference shares

	June 30, 2022		June 30, 2021	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**6 Months**	**3 Months**	**6 Months**
Profit for the period attributable to owners of the parent company	10,954,515	22,083,609	9,450,676	16,543,462
Profit for the period available for preference shares	1,327,067	2,675,282	1,144,887	2,004,130
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	822,887
Basic earnings per preference share *(in Korean won)*	1,613	3,251	1,391	2,435

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and six-month periods ended June 30, 2022 and 2021.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the six-month periods ended June 30, 2022 and 2021 are as follows:

- Adjustments

(In millions of Korean won)	**2022**	**2021**
Adjustments:		
Income tax expense	7,107,165	5,856,904
Financial income	(3,033,105)	(1,341,113)
Financial expenses	2,516,133	1,040,969
Post-employment benefits	692,424	676,056
Depreciation	18,077,845	14,360,825
Amortization	1,543,029	1,471,855
Bad debt expenses (reversal)	24,421	2,568
Dividend income	(330,909)	(77,069)
Share of profit of associates and joint ventures	(491,706)	(335,006)
Gain on disposal of property, plant and equipment	(114,200)	(206,021)
Loss on disposal of property, plant and equipment	24,107	50,469
Loss on valuation of inventories	1,934,530	591,381
Others	108,064	(159,302)
Total	28,057,798	21,932,516

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2022**	**2021**
Changes in assets and liabilities:		
Decrease (increase) in trade receivables	383,614	(3,806,471)
Increase in other receivables	(656,444)	(55,161)
Increase in prepaid expenses	(323,801)	(202,122)
Increase in inventories	(10,473,730)	(1,594,374)
Increase (decrease) in trade payables	(3,479,374)	299,667
Increase (decrease) in other payables	(2,076,950)	15,150
Increase (decrease) in advances received	13,502	(113,667)
Decrease in withholdings	(563,671)	(90,346)
Decrease in accrued expenses	(1,705,600)	(1,643,233)
Increase in provisions	326,635	231,002
Payment of post-employment benefits	(295,378)	(232,658)
Other	(576,003)	(714,900)
Total	(19,427,200)	(7,907,113)

For the six-month periods ended June 30, 2022 and 2021, cash outflows from principal repayment (financial activities) amount to ₩ 485,458 million and ₩ 390,466 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 61,932 million and ₩ 51,611 million, respectively.